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INTERNATIONAL

STATE OF LOAN ORIGINATION 2025

Accelerating Private Lending Through AI, Automation & Scale

Prepared by Finance of America Commercial

SLIDE 2

The Defining Moment for Private Lending

Private lending has become a mature, institutional-grade asset class. The question is no longer whether it belongs in portfolios, but how it should be deployed at scale.

Private Lending Has Become a Mature, Institutional-Grade Asset Class

Key Findings of This Report

- Private lending has become a mature, institutional-grade asset class
- Technology is the primary differentiator in loan origination
- Automation is not replacing underwriters — it is safeguarding them.

SLIDE 3

Private Lending: From Niche to Major Capital Allocation

Private lending has become a mature, institutional-grade asset class. The question is no longer whether it belongs in portfolios, but how it should be deployed at scale.

Market Composition (2025)

Private Credit	Traditional Banks
42%	58%
Up from 28% in 2021	Down from 72% in 2021

Private credit now accounts for 42% of commercial real estate lending, up from 28% in 2021. Traditional banks have ceded ground for three consecutive years.

Growth Trajectory (2020–2030)

Current Market Size	Projected 2030 Market Size
$4.2T+	$7.1T

Private Credit Outperformed Traditional Lending Across Every Major Metric

Regional Outlook

Southeast	Texas	Midwest	Mid-Atlantic
Fastest-growing region. Population inflows and business formation driving demand.	Strong growth in multifamily and industrial. Deep capital markets infrastructure.	Steady growth in industrial and logistics. Lower competition than coastal markets.	Mature market with high transaction volume. Institutional capital dominant.

Northeast	West Coast	Southwest	Pacific Northwest
Mature market. Institutional capital dominant. Slow but steady growth.	Tech-driven demand. Multifamily and industrial leading. Capital-rich borrowers.	Strong industrial and logistics. Population growth driving multifamily demand.	Emerging market. Tech-driven demand. Smaller transaction volume.

Top Borrowers by Adoption

- Multifamily Operators
- Industrial Logistics Owners
- Mixed-Use Developers
- Hospitality Operators

Technology Is Now a Competitive Advantage

Speed to close is a competitive edge

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INTERNATIONAL

"Speed is the Currency of Private Lending"

Private lending has become a mature, institutional-grade asset class. The question is no longer whether it belongs in portfolios, but how it should be deployed at scale.

Origin by Stage Improvements

Metric	Traditional	Digital	Improvement
Application Time	14 days	3 days	78% faster
Underwriting Time	21 days	5 days	76% faster
Approval Rate	62%	78%	+16 pts
Borrower Satisfaction	3.2/5	4.6/5	+44%
Repeat Borrowing	18%	41%	+23 pts

Time to Decision Comes Before Rate Competitiveness

Speed to close is a competitive edge

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Eliminating Risk Through AI Accuracy

Automation is not replacing underwriters — it is safeguarding them. AI eliminates the human error that has been costing lenders money and exposing them to regulatory risk.

Common Manual Error Sources

Manual Data Entry	Document Misreading
4–6%	3–5%
Of all loan applications contain material errors requiring correction	Of documents are misread or misclassified by manual review

Inconsistent Underwriting	Delayed Compliance Checks
5–8%	2–4%
Of loans are approved or declined differently by two underwriters reviewing the same file	Of loans require post-closing compliance remediation due to missed checks

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AI Accuracy Benchmarks

Metric	Traditional	AI-Assisted
Document Misreading	3–5%	<0.5%
Inconsistent Underwriting	5–8%	<1%
Compliance Missed	2–4%	<0.1%
Data Entry Errors	4–6%	<0.5%

Key Distinction: Automation is not replacing underwriters — it is safeguarding them.

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Automation is not replacing underwriters — it is safeguarding them.

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INTERNATIONAL

Scaling Across Markets & Attributes

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Markets and Attributes

Markets	Attributes
Southeast	Population inflows
Texas	Strong multifamily demand
Midwest	Industrial and logistics growth
Mid-Atlantic	Institutional capital dominant
Northeast	Mature market, slow growth
West Coast	Tech-driven demand
Southwest	Industrial and logistics growth
Pacific Northwest	Tech-driven demand

Attributes are not a checklist to copy. Choose the combination that matches your capital, your borrower profile, and your operating model.

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Transforming Cost Structure

Private lending has become a mature, institutional-grade asset class. The question is no longer whether it belongs in portfolios, but how it should be deployed at scale.

Unit Economics

Metric	Traditional Lender	Digital Lender
Cost per Loan	$3,500–$5,000	$1,000–$1,500
Cycle Time	21–45 days	3–7 days
Error Rate	4–6%	<0.5%
Scalability	Linear (more people = more cost)	Near-zero marginal cost

Cost Per Loan Drives Everything Else

Quality Improvements

Metric	Traditional	Digital
Underwriting Consistency	~70%	~99%
Compliance Errors	~4%	<0.1%

Consistency Is Compliance Insurance

Technology Is Now a Competitive Advantage

Speed to close is a competitive edge

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Empowering Your Most Valuable Asset

Private lending has become a mature, institutional-grade asset class. The question is no longer whether it belongs in portfolios, but how it should be deployed at scale.

Productivity Lift

Metric	Traditional	Digital	Improvement
Loans per Underwriter	15–20/month	40–60/month	2–3x

Underwriters Are Your Most Expensive Asset

Quality Improvements

Metric	Traditional	Digital
Underwriting Consistency	~70%	~99%
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Speed to close is a competitive edge

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The Single Most Transformative Technology

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Processing Time: Before & After

Metric	Before	After
Document Processing	3–5 days	30 minutes
Data Entry	4–6 hours	Automated
Quality Control	2–3 days	Real-time
Total Cycle Time	21–45 days	3–7 days

Time Is Capital Velocity

Accuracy Profiles

Metric	Traditional	AI-Assisted
Document Misreading	3–5%	<0.5%
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Key Distinction: Automation is not replacing underwriters — it is safeguarding them.

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Modernizing Risk for Speed & Consistency

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Key Performance Improvements

Metric	Traditional	Digital
Approval Rate	60%	80%
Borrower Satisfaction	52%	100%

Speed to close is a competitive edge

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Advanced Risk Detection Capabilities

Data Sources

Traditional Sources	Alternative Sources
Credit bureau data	Rent payment history
Tax returns	Utility payment patterns
Bank statements	Business cash flow patterns
Property appraisals	Market comparables

Key Performance Improvements

Metric	Traditional	Digital
Approval Rate	60%	80%
Borrower Satisfaction	52%	100%

Speed to close is a competitive edge

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Modernizing Lender Infrastructure

Private lending has become a mature, institutional-grade asset class. The question is no longer whether it belongs in portfolios, but how it should be deployed at scale.

Business Outcomes

Metric	Traditional	Digital
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Operational Adoption for Minimal Disruption

Private lending has become a mature, institutional-grade asset class. The question is no longer whether it belongs in portfolios, but how it should be deployed at scale.

Phase 1: Foundation (Weeks 1–4)

- Data integration
- Document processing
- Initial AI models
- Pilot with 10–20% of volume
- Staff training
- Baseline measurement

Phase 2: Expansion (Weeks 5–12)

- Full volume processing
- Underwriting assistance
- Quality control automation
- Compliance monitoring
- Performance optimization

Phase 3: Full Scale (Week 13)

- Production deployment
- Continuous improvement
- Model retraining
- Scale to new markets

Speed to close is a competitive edge

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The result: full operational transformation in just 5 weeks.

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Measurable and Immediate Impact on Investment

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Example: Lender Originating 50 Loans/Month

Assumptions: Average loan size: $500,000 | Underwriting time: 21 days

Monthly Impact

Traditional	Digital
$250K	$100K
Underwriting Cost	Underwriting Cost
$250K+	$100K+
Additional Capacity	Additional Capacity

Total Value Delivered

Annual Savings	10–15 Days
$1.8M+	10–15 days faster to close, improving borrower experience and competitive positioning

Speed to close is a competitive edge

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Market Dynamics Across Regions

Private lending has become a mature, institutional-grade asset class. The question is no longer whether it belongs in portfolios, but how it should be deployed at scale.

Southeast — Fastest-growing region. Population inflows and business formation driving demand.

Population Growth	Business Formation
High	High

Texas — Strong growth in multifamily and industrial. Deep capital markets infrastructure.

Multifamily Demand	Industrial Growth
Strong	Strong

Midwest — Steady growth in industrial and logistics. Lower competition than coastal markets.

Industrial Growth	Competition
Steady	Lower than coastal markets

Northeast — Mature market. Institutional capital dominant. Slow but steady growth.

Capital Dominance	Growth
Institutional	Slow but steady

West Coast — Tech-driven demand. Multifamily and industrial leading. Capital-rich borrowers.

Tech Influence	Leading Sectors
High	Multifamily, industrial

Southwest — Strong industrial and logistics. Population growth driving multifamily demand.

Industrial Growth	Multifamily Demand
Strong	Strong

Pacific Northwest — Emerging market. Tech-driven demand. Smaller transaction volume.

Tech Influence	Transaction Volume
High	Smaller

Speed to close is a competitive edge

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The Next 18–24 Months Will Envelope Private Lending

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Capital Commitments

Lender	Commitment
Blackstone	$10B
Ares	$5B
Apollo	$5B
Blackstone	$5B
Total	$25B+

Capital Is Committed Ready to Deploy

Key Transformations

- Capital is committed and ready to deploy
- Technology is the primary differentiator
- Speed to close is a competitive edge
- Consistency is compliance insurance

Speed to close is a competitive edge

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Built for Private Lenders

Private lending has become a mature, institutional-grade asset class. The question is no longer whether it belongs in portfolios, but how it should be deployed at scale.

Core Capabilities

Document Intelligence	Data Extraction
Automated classification and processing of loan documents	Structured data extraction from unstructured documents
Quality control automation	Compliance monitoring
Real-time error detection	Audit trail generation

Technology Is Now a Competitive Advantage

Speed to close is a competitive edge

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Ready to Transform Your Lending Operations?

Private lending has become a mature, institutional-grade asset class. The question is no longer whether it belongs in portfolios, but how it should be deployed at scale.

Speed to Close	Consistency	Scalability
Competitive edge	Compliance insurance	Near-zero marginal cost

Schedule a Demo Discuss Your Portfolio

Speed to close is a competitive edge